

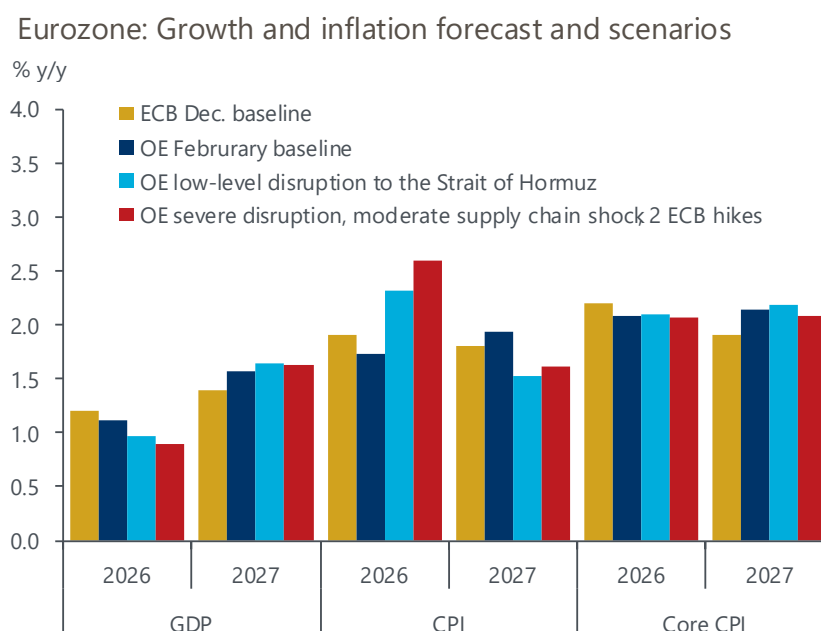
Research Briefing | Eurozone

Gas prices and supply-chain stress put ECB on edge

- The growth drag from the Iran conflict will be modest in our next baseline update. However, Europe's depleted gas stores and reliance on transport routes via the Middle East point to heightened risks of a larger inflationary supply shock. That could become an additional drag on our already below-consensus forecast for 2026 GDP growth.
- Our next baseline forecast will likely factor in a 0.3ppts-0.5ppts rise in our 2026 headline inflation forecast to up to 2.3%, with the drag on real incomes lowering GDP growth by 0.1ppts to 1.0% this year. Both shocks would reverse in 2027.
- It's premature to factor in additional inflationary pressures, but risks are skewed towards a more severe inflationary shock. Layering a higher-for-longer gas price scenario, a moderate supply-chain shock from rerouted cargo ships and planes, and a weaker euro on top of the new baseline would lift inflation by an additional 0.4ppts this year and lower growth to 0.9%.
- Our modest forecast changes mean we stick to our call that the ECB will hold rates this year. Even in an adverse scenario, there is a case to look through the temporary inflation spike. However, above-target core inflation, sticky inflation expectations, and lessons from the inflation surge in 2022 suggest the ECB may opt for one to two rate hikes if the conflict looks likely to be protracted and the impact more severe.

Our updated baseline forecasts, due March 10, will incorporate a moderate rise in our [global](#) and Eurozone inflation forecasts and a modest drag on the growth outlook from the conflict in the Middle East (**Chart 1**). Eurozone inflation could average a bit above 2% this year instead of falling below-target, while GDP growth could fall to 1% on account of the hit to real incomes. But the effects should largely reverse next year if the supply shock is only temporary, as we expect. In our baseline, wider ripple effects beyond the energy price shock are also contained, as the Gulf Cooperation Council (GCC) economies account for less than 2% of world GDP and any supply disruptions beyond energy markets should fade quickly.

Chart 1: In an adverse scenario, inflation rises to uncomfortable levels for hawkish ECB



Source: Oxford Economics

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However, we think that risks to the Eurozone outlook are skewed towards a more 'stagflationary' shock that is likely to be more pronounced than in other advanced economies for two reasons:

- After a cold winter, gas storages are at very low levels. So even temporary supply disruptions have a heavier impact given the adverse starting position for the refilling season.
- Early signs suggest that supply disruptions are already starting to extend beyond energy markets as major cargo firms have started [rerouting](#) more ships around the Horn of Africa due to worries about attacks on the route through the Suez Canal. This comes on top of the disruption to [air cargo routes](#) between Asia and Europe, many of which use the major air hubs in the Middle East – this dual disruption is a key differentiator from the Red Sea conflict. As with the energy shock, the disruption would have to extend beyond a few days and weeks to have a macroeconomic impact.

Empty storage puts Europe at risks of higher-for-longer gas prices

Still, the more significant downside risk stems from energy prices. Our new baseline forecasts will assume a [temporary surge](#) in energy commodity prices, with oil prices spiking to nearly \$80 per barrel, up \$15 from our February baseline. Gas prices could end up some 30% above our February baseline view, which roughly translates into a 0.3ppts-0.4ppts lift to headline inflation prospects for this year. This is notably higher than the consensus and our previous baseline view that falling energy prices and moderating core inflation would allow consumer price rises to slow to below the ECB's 2% target this year.

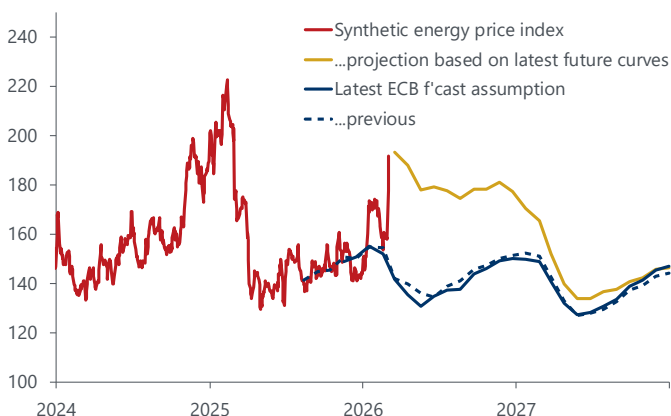
Moreover, price risks are to the upside of our new baseline, especially for [natural gas prices](#). Gas prices have soared over 50% since last week due to the announced temporary production and export stops in major LNG hubs and the transport disruption. This lifts prices closer to the more severe disruption scenario we published [last week](#), and is a marked shift upwards from the commodity price assumptions that underpinned the ECB's latest forecast update in December ([Chart 2](#)).

Even though prices are far from the peak reached after the invasion of Ukraine in 2022, such a scenario would lift Eurozone inflation this year by at least 0.5ppts compared to our February baseline, not least because higher gas prices would also push up electricity prices.

Chart 2: Surge in wholesale energy prices is a clear risk to ECB's December baseline index

Eurozone: Synthetic energy price index

Jan 2017=100, weighted average of Brent (in EUR), TTF and German power futures using CPI basket weights



Sources: Oxford Economics, Haver Analytics

Europe is very exposed to gas supply disruptions because a comparatively [cold winter](#) has depleted gas storages. EU-wide stores have fallen to around 30% recently, at the low-end of the five-year range. The macroeconomic impact of higher gas prices and empty gas storage has been limited this past winter given how late in the heating season the cold spell arrived.

However, prolonged gas supply disruptions would force Europe to compete with Asian LNG importers, paying a premium to replenish gas storage ahead of the next winter. We previously highlighted the [risk](#) that

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Europe's heavy dependence on gas imports still posed risks for the EU in the past autumn. That risk is now even more pronounced for next winter.

In addition, wider refinery margins could amplify the direct lift to consumer prices from higher crude oil prices, at least in the short run. This is because significant refinery capacity in the Middle East faces the same transportation bottlenecks as crude oil. Diesel futures have jumped indicating a widening of refinery margins. In general, the passthrough from higher energy prices will be quickest to consumer fuel prices. In fact, they have already been rising in recent weeks as rising risk premia pushed up crude oil prices. Meanwhile consumer gas and electricity prices tend to respond with a lag as contracts often contain fixed price clauses.

Supply chain disruptions could lift core inflation

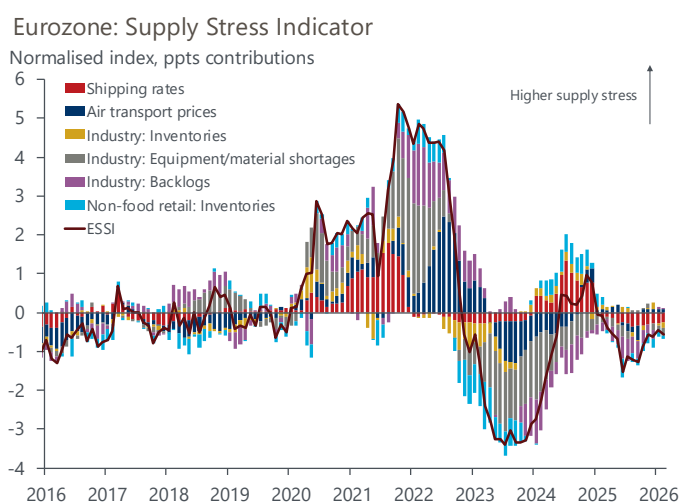
Disruption spreading beyond energy markets is another clear risk. Early signs of this are already appearing, with major shipping firms rerouting cargo ships away from the Red Sea and the Suez Canal due to fears of renewed attacks from the Houthis in Yemen or the threat of Iranian missiles and drones. Moreover, major airports in the Middle East are closed to severely disrupted, which hampers air cargo as well.

We haven't factored in the impact from this into our baseline as we assume that any disruption will ease quickly enough not to become a serious drag on supply chains. US President Donald Trump has announced that he has ordered the US International Development Finance Corporation (DFC) to offer shipping insurance and has suggested using the US Navy to escort cargo ships and oil tankers through the Strait of Hormuz. These measures show the possibly severe economic repercussions of a prolonged effective closure of the strait are being factored into decision making.

Still, the longer the transport disruptions last, the more likely Europe's industrial recovery would be impeded. The longer travel time around the Horn of Africa alone will raise shipping rates, even if inventories should by-and-large last long enough to bridge a brief period of severe disruption. Beyond that, supply stress can quickly build as the Red Sea conflict showed (**Chart 3**).

This is true not least because Europe's dependence on global supply chains hasn't lessened in the aftermath of the pandemic and post-pandemic supply stress, despite all the talk about nearshoring, homeshoring, friendshoring, and a China+1 strategy. (We will discuss these issues in an upcoming research briefing.) A spike in supply stress even if temporary would put upward pressure on core inflation, adding to the inflationary dynamics unleashed by higher energy prices.

Chart 3: Potential supply chain stress would build from a solid starting position



Sources: Oxford Economics, Haver Analytics

Meanwhile, the inflationary nature of the current shock could be amplified by a weaker exchange rate. The euro has fallen to \$1.16 from \$1.18 in February. We think this was a classic risk-off/safe haven-type response, where the US dollar benefits not least because the Eurozone is more exposed to the current

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shock than the US economy given the latter's status as a net energy exporter. Moreover, the US supply chains rely much less on goods shipped through the Red Sea.

Stickier inflation could push hawkish ECB into risk management mode

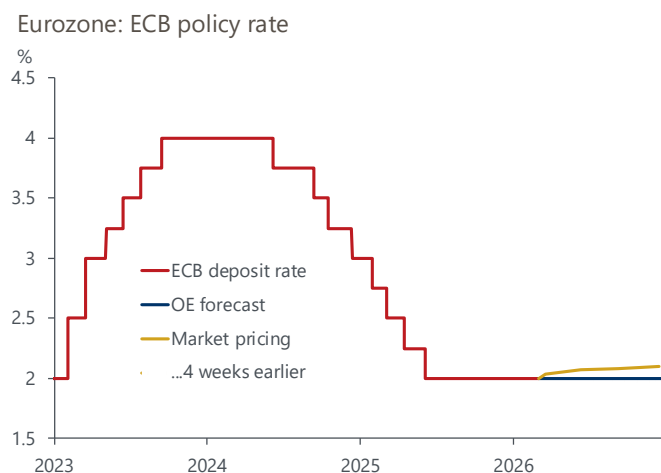
The ECB will no doubt be very concerned about the increase in inflation risks. While there's a good case to be made to look through temporary energy price spikes, the council's deliberations will likely be heavily influenced by the post-pandemic and energy-crisis experiences, when the confluence of supply shocks and a strong demand backdrop triggered a surge in inflation and a spike in inflation expectations.

We think it's highly unlikely that the ECB will alter policy at the upcoming March meeting, even if energy prices stay as high as they are now. At this stage, the situation is far too unpredictable, and with markets still pricing a comparatively short spike in energy prices, changes now would be an overreaction. From a technical perspective, the ECB's updated macroeconomic projections due in March will be based on commodity price assumptions from before the surge, so the optics of not responding are less stark.

But it's clear that the council will shift away from the recent "good place" and "hikes as likely as cuts" rhetoric. Instead, the discussion will likely focus on the upside risks to the ECB baseline inflation projections and worries that higher energy prices and supply chain stress could feed underlying inflationary pressure.

Therefore, markets are right to price in higher odds of an ECB response (**Chart 4**). We expect the central bank to look through the temporary energy price rise that we assume in our updated baseline forecast. So we still think that the policy rate will stay at 2% throughout the year.

Chart 4: Markets are right to price in higher odds of rate hikes



Sources: Oxford Economics, Haver Analytics

However, should it become clear that the energy shock will last longer, and shipping routes are being significantly disrupted, we wouldn't be surprised if the ECB tightened policy to ease the upward pressure on underlying inflation. Indeed, in an illustrative scenario, we show that two 25bps rate hikes later this year would suffice to keep core inflation in line with our baseline despite a larger energy price shock combined with a moderate supply chain shock (**Chart 1**).

Still, policy tightening isn't a foregone conclusion. The ECB's own baseline has core inflation slowing below 2% next year, so it has a buffer. Its core inflation projections would likely need to indicate risks of core inflation ending up more than a few tenths of a percent above 2%. But in general, we think the ECB is much less likely to look through a supply side inflation shock than pre-pandemic. Not only is the recent inflation surge still haunting the council, there is also a risk that inflation expectations are now more sensitive to inflation surprises. And still elevated wage growth and services inflation amid a fairly tight labour market suggest the ECB is more likely to opt for an early gradual policy response over a later rapid and more severe tightening.